

The macroeconomy (A Level)

A Level Economics

This topic studies the wider economy at A Level depth: how spending multiplies, how growth links to the environment, the jobs–prices link, and money.

The circular flow and the multiplier

The **circular flow of income** 收入循环流 shows money passing between households and firms. **injections** 注入 add money to the flow (investment, government spending, exports); **leakages** 漏出 take it out (saving, taxation, imports).

The multiplier

An injection raises income by **more** than the first amount. This is the **multiplier** 乘数. When a firm builds a factory, the builders earn income, and they spend part of it, which becomes someone else's income, and so on.

How much is spent again depends on the **marginal propensity to consume** 边际消费倾向 (MPC) —the fraction of extra income that people spend on home goods. The rest leaks out. In a simple model:

$$\text{multiplier} = \frac{1}{1 - MPC}$$

A bigger MPC (smaller leakages) gives a bigger multiplier. The main leakages are measured by the **marginal propensity to save** 边际储蓄倾向 (MPS) and the **marginal propensity to import** 边际进口倾向 (MPM).

The accelerator

The **accelerator** 加速数 says that **investment** 投资 depends on the **rate of change** of output. When demand is rising quickly, firms need lots of new capital, so investment jumps. When demand merely stays high, investment falls back.

What drives consumption, saving and investment

- **consumption** 消费 and **saving** 储蓄 depend on **disposable income** 可支配收入 (income after tax), wealth, interest rates, and confidence.
- investment depends on interest rates, expected profit, technology, and business confidence.

Economic growth and sustainability

economic growth 经济增长 is a rise in real output.

- **actual growth** 实际增长 is the real rise in output that happens.
- **potential growth** 潜在增长 is the rise in the economy's capacity.

The **output gap** 产出缺口 is the difference between actual output and potential output. A **positive** gap (actual above potential) tends to cause inflation; a **negative** gap (actual below potential) means spare capacity and unemployment.

Sustainability

sustainable growth 可持续增长 is growth that meets today's needs without harming the ability of future generations to meet theirs. Fast growth can use up non-renewable resources and cause pollution, which threatens **sustainability** 可持续性. So a country must weigh growth today against the environment and resources of tomorrow.

Employment and unemployment

unemployment 失业 is measured in two ways: the **claimant count** 申领救济人数 (people claiming benefits) and the wider **labour force survey** 劳动力调查 (a sample asked about work).

Types

- **frictional unemployment** 摩擦性失业—short spells between jobs.
- **structural unemployment** 结构性失业—skills no longer match the jobs, as industries decline.
- **cyclical unemployment** 周期性失业—caused by low demand in a recession.
- **seasonal unemployment** 季节性失业—work only at certain times of year.

The natural rate and the Phillips curve

The **natural rate of unemployment** 自然失业率 is the unemployment left when the labour market is in balance (mainly frictional and structural). It cannot be removed just by raising demand.

The **Phillips curve** 菲利普斯曲线 shows the link between unemployment and inflation:

- in the **short run**, there is a trade-off: lower unemployment comes with higher inflation, because strong demand pushes up wages and prices.
- in the **long run**, the curve is vertical at the natural rate. Once people expect inflation, there is no lasting trade-off —pushing unemployment below the natural rate only speeds up inflation.

Money and banking

What money does

money 货币 is anything widely accepted in payment. It has four jobs:

- a **medium of exchange** 交换媒介—used to buy and sell, avoiding barter.
- a **store of value** 价值储藏—it keeps its worth over time, so you can save it.
- a **unit of account** 记账单位—a common way to measure and compare prices.
- a **standard of deferred payment** 延期支付标准—it lets people borrow and repay later.

Good money is durable, easy to carry, easy to divide, hard to fake, and limited in supply.

Banks

- the **central bank** 中央银行 issues notes, runs monetary policy, holds the country's reserves, and acts as **lender of last resort** 最后贷款人 to banks in trouble.

- **commercial banks** 商业银行 take deposits and make loans. By lending out most of what is deposited, the banking system creates money.

The demand for money and interest rates

People hold money rather than other assets for its **liquidity** 流动性 (it can be spent at once). The **demand for money** 货币需求—also called **liquidity preference** 流动性偏好—comes from the need to make everyday payments, to keep a safety buffer, and to be ready to buy assets.

The **interest rate** 利率 is the price of borrowing money. It is set where the demand for money meets the **money supply** 货币供给. A larger money supply tends to lower the interest rate.

Moral hazard

moral hazard 道德风险 is the danger that banks take bigger risks because they expect to be rescued if things go wrong. If a bank believes the government will bail it out, it may lend recklessly—knowing it keeps the gains but passes losses to others.